



Retail Customer Retention Analytics – ADIDAS

Churn Rate KPI = (Churned Customers / Total Customers) * 100

27.33

Churned rate KPI

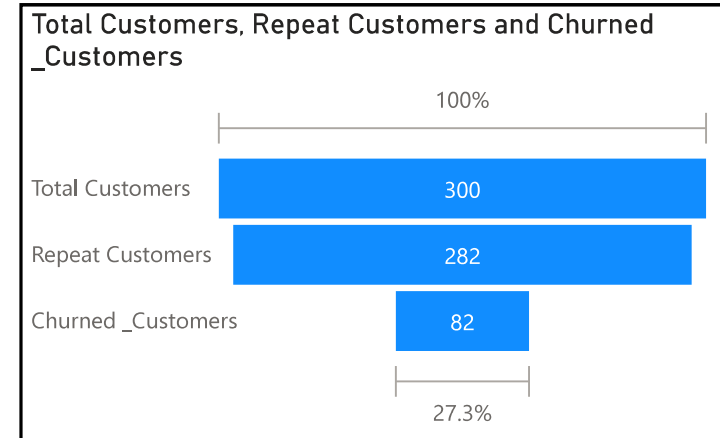
Churn Rate of 27.33% indicates that customers have stopped purchasing during the period .

DAX FUNCTION USED Churned rate KPI = ('Churn_Labelled_Customers (1)'[Churned _Customers]/[Total Customers])*100

TO CALCULATE CHURNED CUSTOMERS DAX FUNCTION USED Churned _Customers = CALCULATE(DISTINCTCOUNT('Customer_Demographics (1)'[Customer_ID]),'Churn_Labelled_Customers (1)'[Churn_Flag]=1)

TO CALCULATE TOTAL COTUMERS DAX FUNCTION USED Total Customers = DISTINCTCOUNT('Customer_Demographics (1)'[Customer_ID])

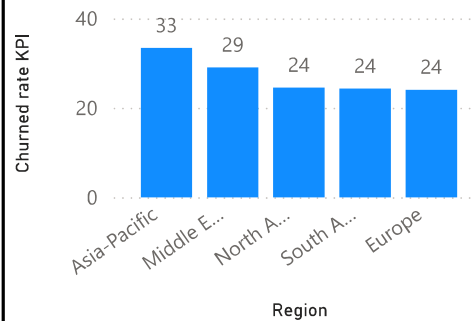
Funnel Chart: Total Customers → Repeat Customers → Churned



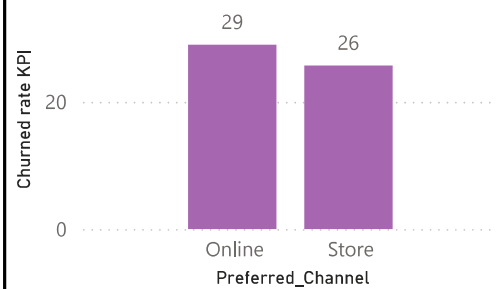
Out of 300 total customers, 282 came back, but 82 still churned, meaning over 1 in 4 customers stopped engaging. This shows that while retention is fairly strong (94% repeat rate), there's still a notable churn issue (27.3%) worth addressing.

Visualize churn rate by Region, Preferred Channel, Income Level, Loyalty Tier

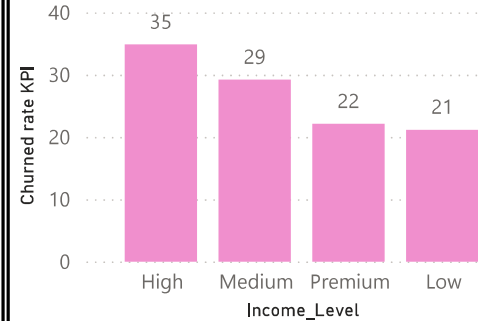
Churned rate KPI by Region



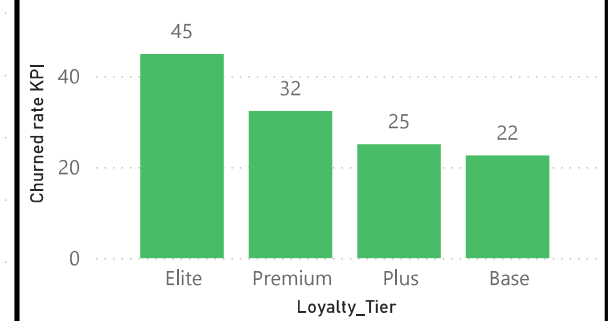
Churned rate KPI by Preferred_Channel



Churned rate KPI by Income_Level



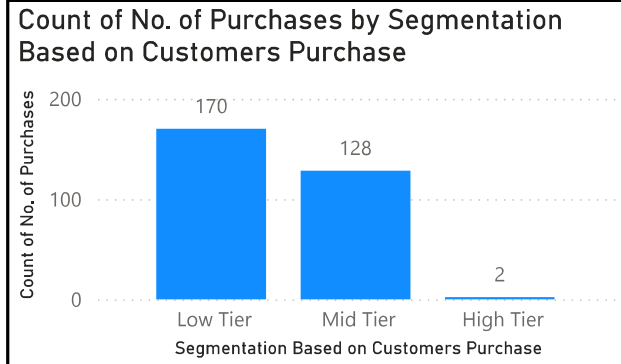
Churned rate KPI by Loyalty_Tier



Churn is highest among high-income and elite loyalty members, which is a red flag. Online shoppers are slightly more likely to churn than in-store. Regional churn varies, but Asia-Pacific stands out for needing retention focus.

Task 2-Churn & Retention Metrics

**Segment customers: Low-Tier: 0–3 purchases
Mid-Tier: 4–8 purchases High-Tier: 9+ purchases**



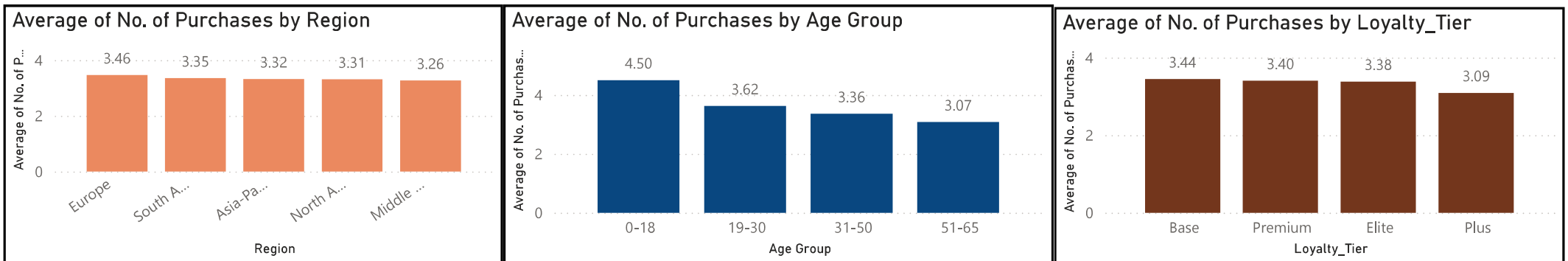
The vast majority of purchases come from Low and Mid Tier customers. High Tier customers are barely engaging this could indicate, lack of attention to top spenders, or poor retention.

Identify most purchased product categories by loyal customers

Product_Category	Sum of No. of Purchases	Count of Loyal Segment
Accessories	764	193
Apparel	789	203
Footwear	754	194
Total	1000	300

The table shows that among loyal customers , "Apparel" Category this tells most of the customers prefer to buy apparel products.
DAX function used Loyal Segment = IF('Customer_Demographics (1)'[No. of Purchases]>=3,"Loyal Customers","Others")

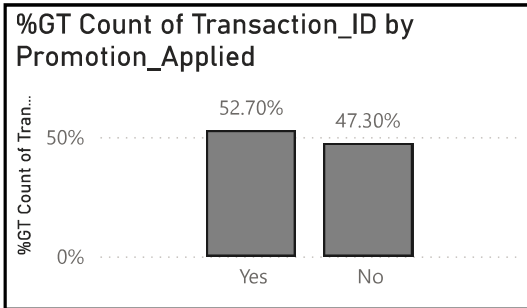
Compare avg. purchase frequency by Region, Age Group, Loyalty Tier



Among regions, Europe has the highest average number of purchases (3.46), indicating stronger customer engagement or better market penetration there. The age group 0-18 has the highest average purchases (4.50), suggesting younger customers are more active buyers; while purchases decline with age. Loyalty tiers show minor differences, but interestingly the Base tier has a slightly higher average purchase (3.44) than Plus (3.09), possibly indicating high loyalty does not always directly translate to more purchases.

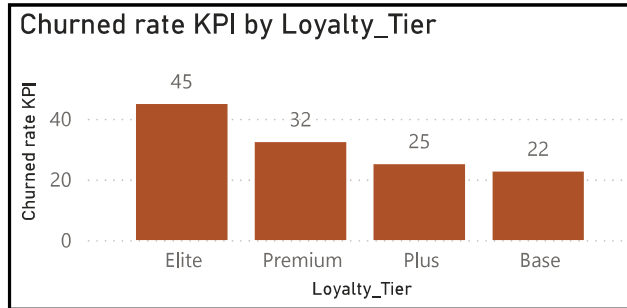
Task 3: Repeat Purchase Analysis

% of transactions with promotion applied



The graph shows that 52.7% of transactions had promotions applied, while 47.3% did not. This means that a slight majority of transactions benefited from promotions. The key insight is that promotional offers are being used in more than half the transactions, indicating their potential influence on customer purchasing behavior and possibly driving sales volume.

Churn rate across loyalty tiers



Higher loyalty tiers (like Elite and Premium) have a greater churn rate compared to the lower tiers (Plus and Base). This suggests that, contrary to common expectations, the most "loyal" tiers have more customers leaving, which may indicate issues with satisfaction or mismatched expectations at higher spending levels.

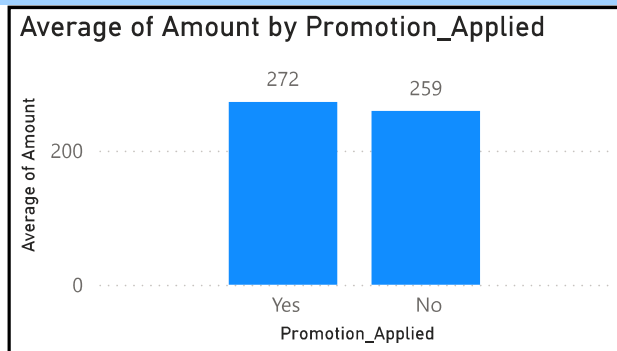
Recommendations to improve redemption & retention

Make it easy to use points both online and in-store with minimal steps.
Show available rewards and points balance clearly at checkout.

Create urgency with limited-time redemption offers or bonus point events.
Include exclusive products or experiences to drive excitement.

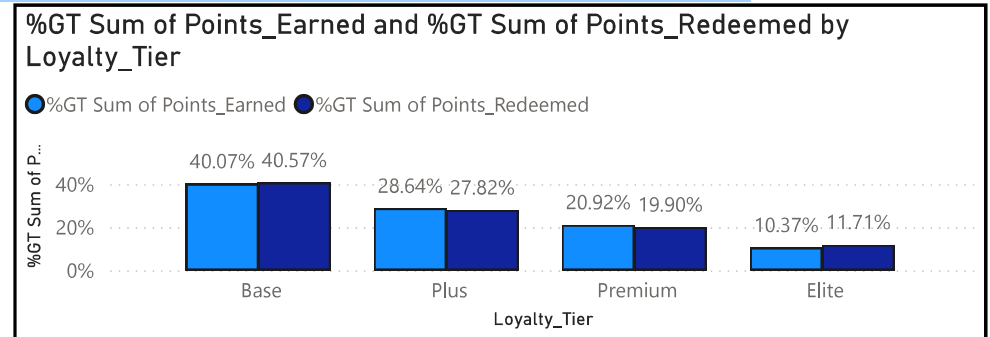
Target inactive users with personalized reactivation campaigns (for example-Your points are expiring soon – don't miss out!).
Offer small bonus rewards for their next purchase.

Compare avg. purchase amount with vs without promotions



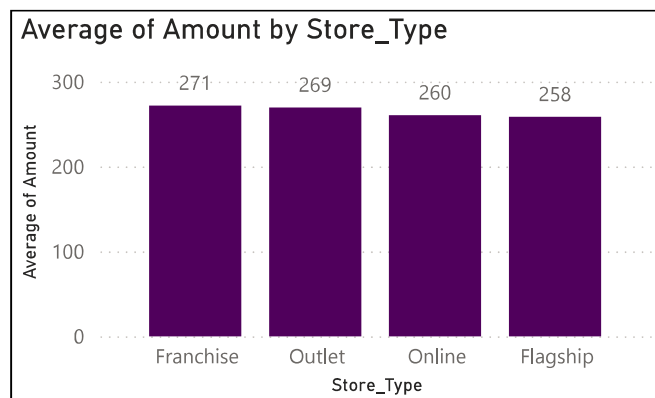
The average purchase amount is higher when promotions are applied (272) compared to when promotions are not applied (259). This suggests that promotions lead to a slight increase in the average spending per purchase. The difference indicates that promotional offers may successfully encourage customers to spend more per transaction.

Points Earned vs Redeemed by Tier



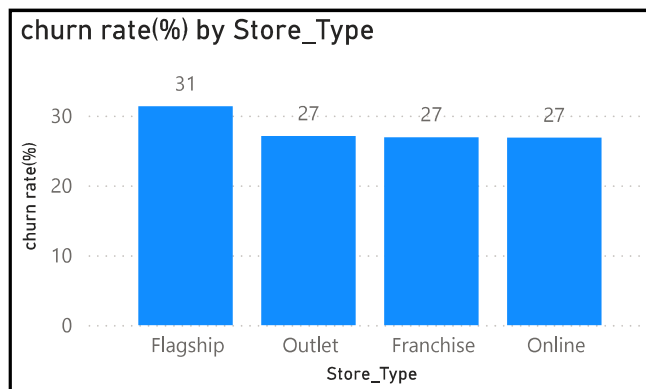
The graph shows that the Base tier dominates both earning and redeeming, accounting for over 40% of total activity in each case indicating that most customer engagement happens at this level. The close match between earned and redeemed percentages in all tiers suggests efficient redemption, with few unredeemed points left idle across customer segments. This pattern may reflect better engagement and benefits for lower-tier members, while higher tiers participate less actively or have fewer members.

Avg. transaction amount by Store Type



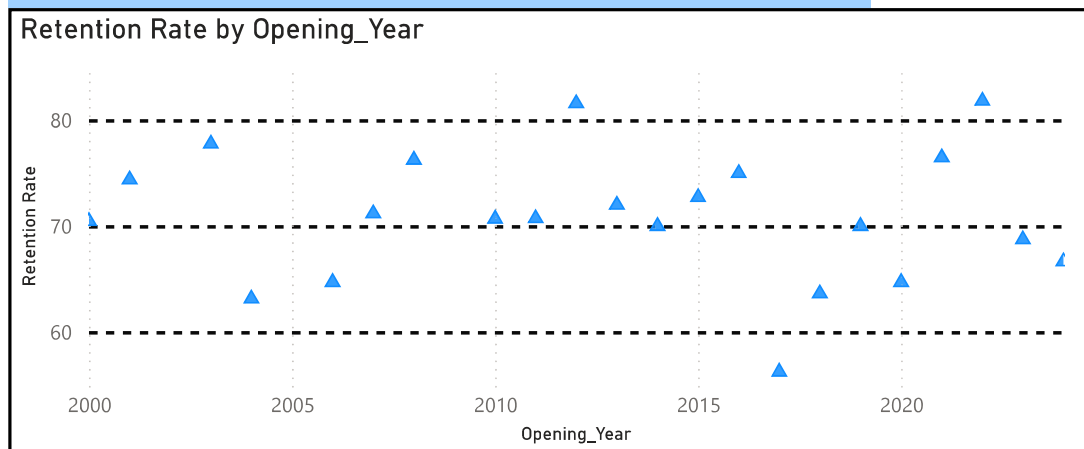
Franchise and Outlet stores are driving higher-value transactions, possibly due to better customer service, localized promotions, or upselling strategies. Online and Flagship stores may need improved cross-selling, bundling, or targeted promotions to boost average transaction value.

Churn rate by store type



The graph shows that flagship stores have the highest churn rate at 31%, while outlet, franchise, and online store types each have a lower churn rate of 27%. This suggests flagship locations may face greater customer loss compared to other store types.

Correlation between store opening year & retention



The scatter plot shows retention rate by store opening year. No strong trend is observed; retention fluctuates across years. Stores opened in recent years (2020–2023) and around 2010 tend to have higher retention (above 75%). Stores opened between 2015–2019 and 2003–2006 show more variability, with some dropping below 60% retention. Store age does not directly predict retention; other factors like location, management, or customer experience may have a stronger impact. Some older stores (pre-2010) still retain customers well, suggesting effective long-term strategies.

Task 5: Store & Channel Performance vs Retention

$CLV = \text{Total Amount Spent} / \text{Membership Duration (Years)}$

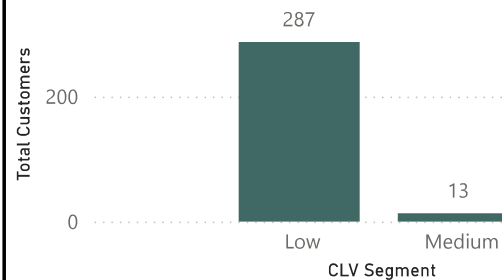
76.67K

Sum of CLV.

The main value shown is 76.67K, which represents the total CLV (Customer Lifetime Value). This means, on average, customers have contributed a total value of 76,670 over their membership duration, based on the highlighted calculation. This metric helps businesses evaluate how much revenue is generated from a customer during their association with the company and can guide decisions on marketing, retention strategies, and resource allocation.

Segment customers into Low, Medium, High CLV

Total Customers by CLV Segment



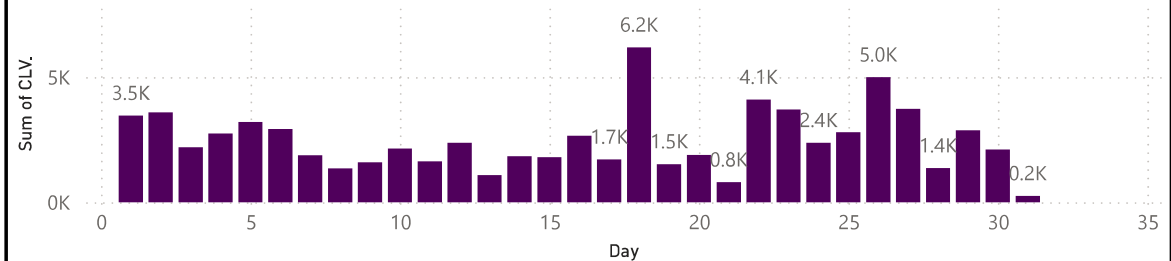
The customer base is heavily concentrated in the Low CLV segment, indicating that most customers have a lower lifetime value.

There is a significant drop-off in the number of customers in the Medium CLV segment, suggesting challenges in customer retention or value growth beyond the lowest tier.

The absence of High CLV customers highlights a potential opportunity to improve customer engagement, loyalty, or sales strategies to grow more customers into higher value segments.

Visualize: CLV vs Days Since Last Purchase

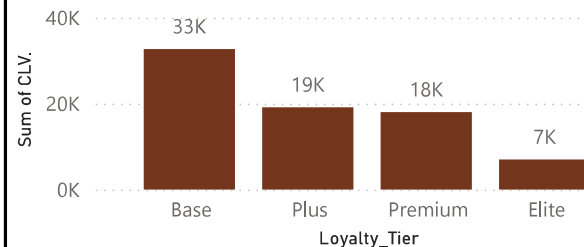
Sum of CLV. by Day



The graph shows that customer value (CLV) peaks on days 1, 18, 21, and 25 since last purchase, suggesting these are ideal points for re-engagement to maximize sales value. Lower CLV on some days indicates fewer or less valuable transactions during those intervals.

CLV by Loyalty Tier & Region

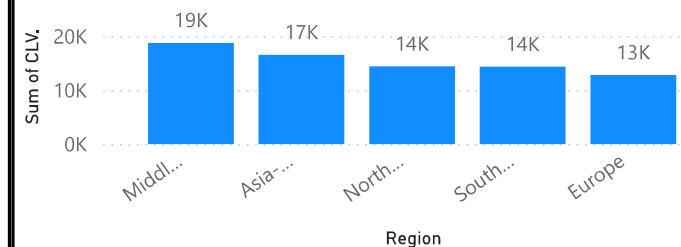
Sum of CLV. by Loyalty_Tier



The "Base" loyalty tier contributes the highest CLV, totaling around 33K. The "Plus" and "Premium" tiers follow, with 19K and 18K respectively, which are closely matched.

The "Elite" tier has the lowest CLV at 7K. This distribution indicates that the majority of customer value is generated by lower-tier (Base) customers, which may suggest a larger population in the base tier or less effective upselling to higher loyalty tiers.

Sum of CLV. by Region



The "Middle East" region has the highest CLV, at 19K. "Asia-Pacific" is next with 17K, followed by "North America" and "South America," each contributing 14K.

"Europe" has the lowest CLV among the listed regions, at 13K. The relatively close values for regions other than the Middle East and Asia-Pacific suggest more balanced or distributed customer value across those markets.

Task 6: Customer Lifetime Value (CLV) Analysis

KPIs (Churn, CLV, Repeat Rate)



Region

- ☐ Asia-Pacific
- ☐ Europe
- ☐ Middle East
- ☐ North America
- ☐ South America

Preferred_Channel

- ☐ (Blank)
- ☐ Online
- ☐ Store

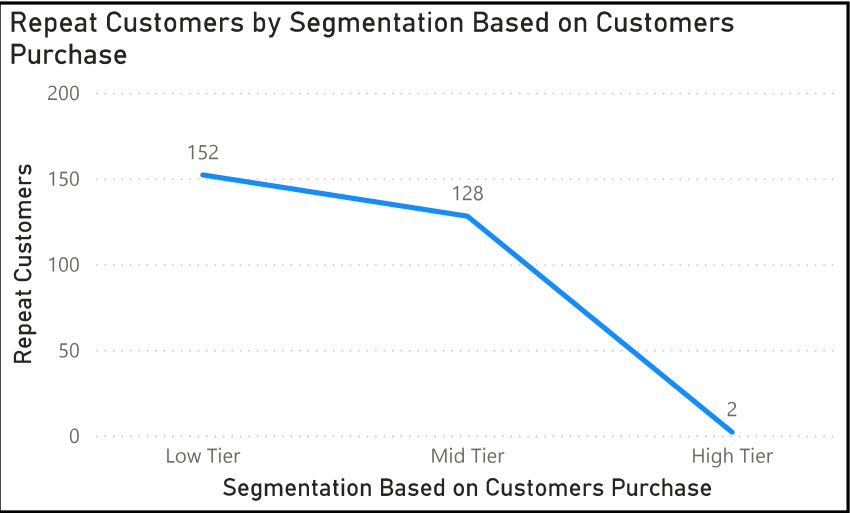
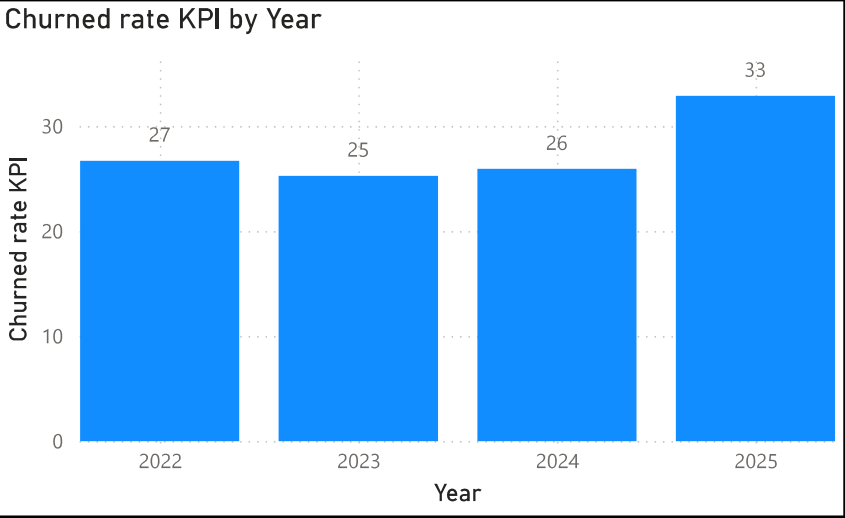
Income_Level

- ☐ (Blank)
- ☐ High
- ☐ Low
- ☐ Medium
- ☐ Premium

Loyalty_Tier

- ☐ (Blank)
- ☐ Base
- ☐ Elite
- ☐ Plus
- ☐ Premium

1000	300	281.86	94.00	27.33
Sum of No. of Purchases	Total Customers	Average of CLV.	Repeated rate(%)	Churned rate KPI



Churn appears to spike intermittently, indicating potential retention issues during specific periods.

Very few high-value customers are repeating purchases , suggests a gap in high-tier customer retention strategy.

Despite a strong overall repeat rate (94%), the high-value segment is not engaged effectively, and churn spikes indicate periods where customers are dropping off, possibly due to seasonal or campaign-related factors.

Loyalty & Promotion Impact

Region

- ☐ Asia-Pacific
- ☐ Europe
- ☐ Middle East
- ☐ North America
- ☐ South America

Preferred_Channel

- ☐ (Blank)
- ☐ Online
- ☐ Store

Income_L...

- ☐ (Blank)
- ☐ High
- ☐ Low
- ☐ Medium
- ☐ Premium

Loyalty_...

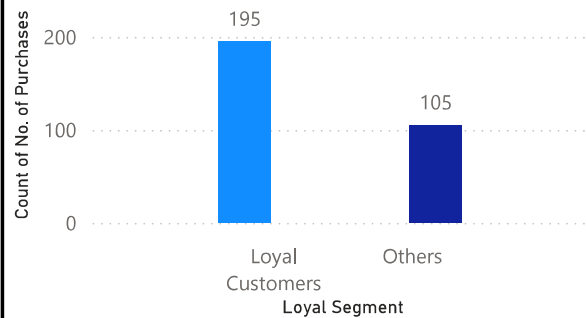
- ☐ (Blank)
- ☐ Base
- ☐ Elite
- ☐ Plus
- ☐ Premium

Age Group

- ☐ (Blank)
- ☐ 0-18
- ☐ 19-30
- ☐ 31-50
- ☐ 51-65

Count of No. of Purchases by Loyal Segment and Loyal Segment

Loyal Segme... ● Loyal Customers ● Others



Loyal Customers made 256 purchases. Others (non-loyal) made only 44 purchases. Loyalty customers are driving the majority of purchases, strong indicator that loyalty programs are effective in boosting buying behavior.

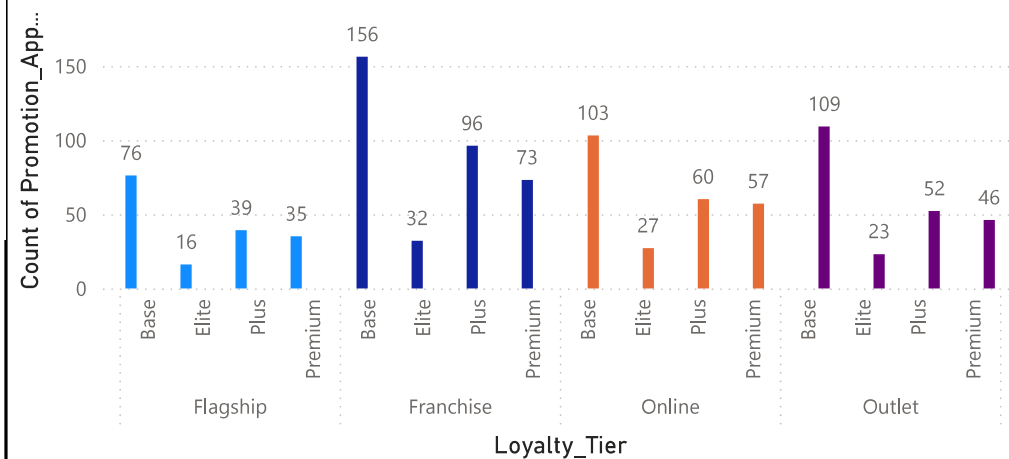
Promotion usage is highly region-dependent, especially concentrated in Asia Pacific and Europe. Franchise model stores are leveraging promotions more actively, possibly more flexible or aggressive in customer acquisition strategies.

While the loyalty program drives purchase volume, higher-tier customers are not retained well. The drop from Base to Elite indicates potential engagement or benefit gaps at the upper levels.

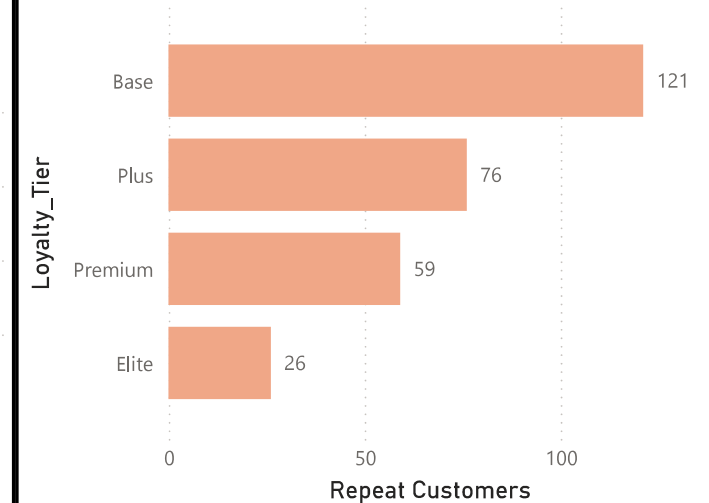
Loyalty programs significantly boost purchases. Promotions are most active in Franchise stores and Europe. Urgent focus needed on retaining high-tier loyalty members, who may not see enough value to stay engaged or repeat purchases.

Count of Promotion_Applied by Store_Type, Loyalty_Tier and Store_Type

Store_Type ● Flagship ● Franchise ● Online ● Outlet



Repeat Customers by Loyalty_Tier



Store/Channel Insights

Region

- ☐ Asia-Pacific
- ☐ Europe
- ☐ Middle East
- ☐ North America
- ☐ South America

Preferred_Channel

- ☐ (Blank)
- ☐ Online
- ☐ Store

Income_Level

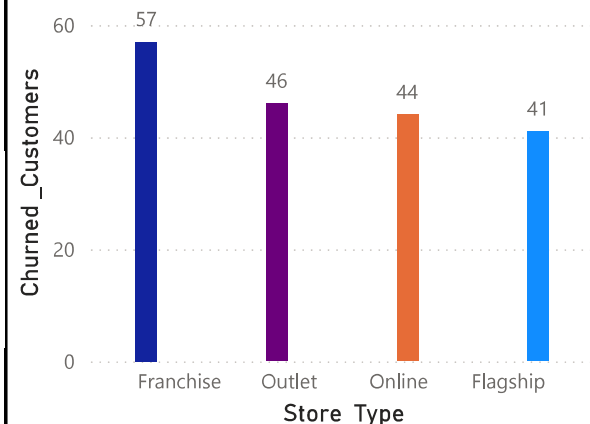
- ☐ (Blank)
- ☐ High
- ☐ Low
- ☐ Medium
- ☐ Premium

Loyalty_Tier

- ☐ (Blank)
- ☐ Base
- ☐ Elite
- ☐ Plus
- ☐ Premium

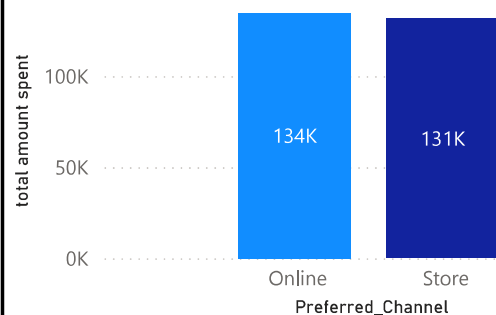
Churned_Customers by Store_Type and Store_Type

Store_Type ● Franchise ● Outlet ● Online ● Flagship

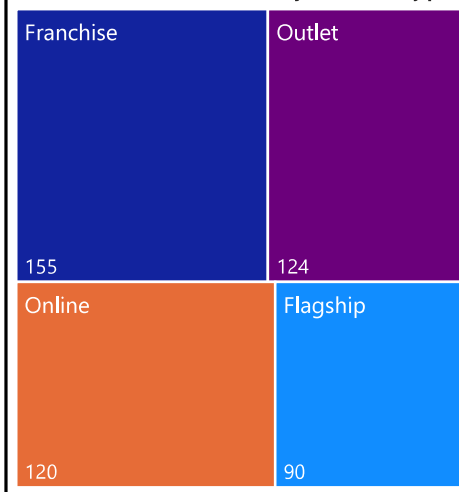


total amount spent by Preferred_Channel and Preferred_Channel

Preferred_Cha... ● Online ● Store



Retention Customer by Store_Type



Store_Type	Churned rate KPI	Sum of CLV	Repeat Customers
Flagship	31.30	34191	131
Outlet	27.06	47778	170
Franchise	26.89	62270	212
Online	26.83	53176	164
Total	27.33	76666	282

Franchise stores are losing the most customers, despite being active in promotions

Franchise stores retain the most customers, even though they have the highest churn they handle a larger volume of customers overall. Flagship stores have the lowest retention, yet highest churn rate at 31.3%, indicating poor retention efficiency.

Customers are spending slightly more online than in physical stores a shift toward digital channels.

Franchise stores perform best overall high CLV, most repeat customers. Flagship stores are underperforming highest churn, lowest CLV. Online channel shows solid performance low churn, high spend.

Recommendation can be that Investigate Flagship stores: training, service quality, or location issues may be causing poor retention. Double down on Online & Franchise channels they bring strong CLV and retention. Consider shifting more promotions and loyalty efforts toward underperforming Outlet and Flagship stores.

Task 7: Final Dashboard & Executive Summary-Store/Channel Insights

Segmentation (Churned, Repeat, High-Value)

Region

- ☐ Asia-Pacific
- ☐ Europe
- ☐ Middle East
- ☐ North America
- ☐ South America

Preferred_Chann...

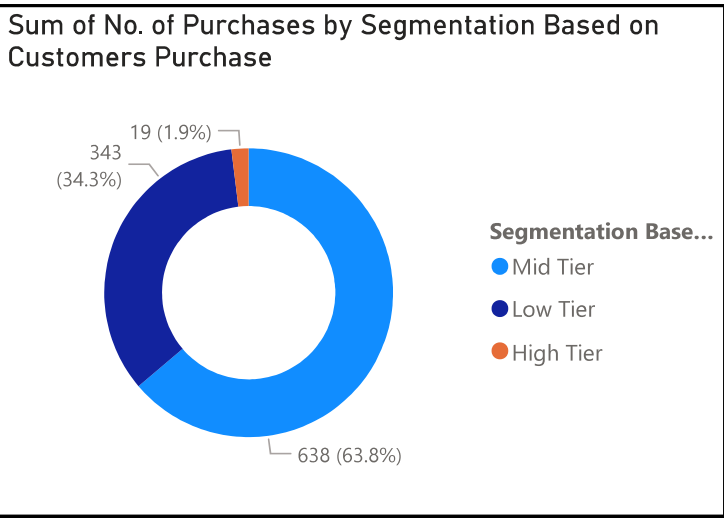
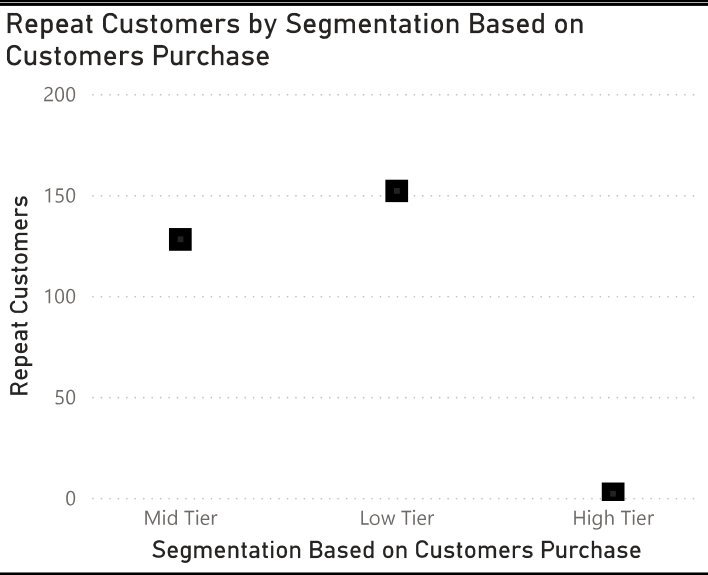
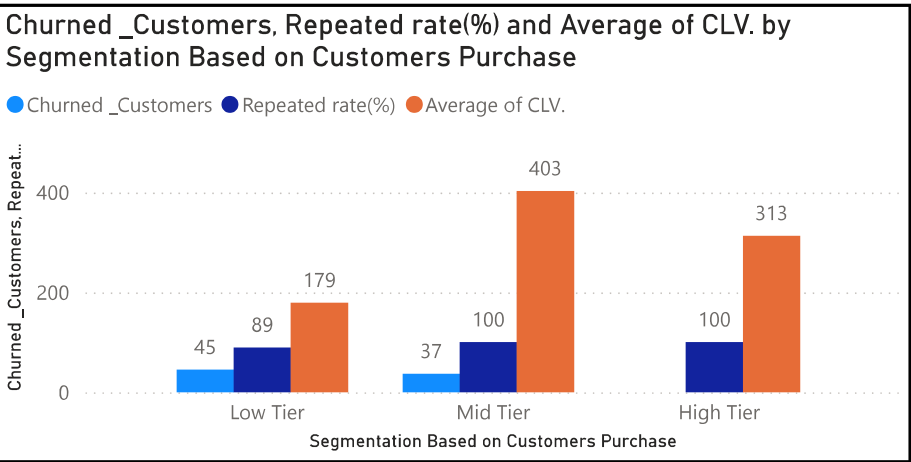
- ☐ (Blank)
- ☐ Online

Income_Level

- ☐ (Blank)
- ☐ High
- ☐ Low
- ☐ Medium
- ☐ Premium

Loyalty_Tier

- ☐ (Blank)
- ☐ Base
- ☐ Elite
- ☐ Plus
- ☐ Premium



Store_Type	Sum of Membership Duration	Average of No. of Purchases
Flagship	736	4.10
Franchise	1113	3.93
Online	848	4.11
Outlet	904	3.98
Total	1538	3.33

Online & Flagship stores have the highest average number of purchases (4.1). Franchise stores have the longest customer membership duration (1113 days). Overall average purchases per customer: 3.33.

Mid Tier customers are the most valuable overall – focus on retention and upselling. High Tier customers are few but valuable – consider targeted acquisition strategies. Online and Flagship stores drive more purchases – leverage them for customer engagement.

Top 3 recommendations for Adidas:

Which customers to prioritize for retention?

• Prioritize Retention of Mid Tier Customers

They make up 63.8% of total purchases. Have high repeat rates (100%) and highest average CLV (403).

Recommendation Can be Invest in loyalty programs, personalized offers, and early-access perks. Consider upgrading them to high-tier through targeted cross-sells.

• Nurture High Tier Customers Despite Small Size

Very high individual CLV (313) and perfect repeat rate (100%), but only 1.9% of purchases.

Recommendation can be Create exclusive VIP programs or early product access. Use referral programs to grow this segment with like-minded high-value customers.

• Convert Loyal Low Tier Customers to Mid Tier

Low Tier customers have decent repeat rates (89%) but low CLV (179).

Recommendation can be Use targeted product bundles, upselling tactics, or membership incentives. Educate them about premium products to increase purchase value.

Which channels are underperforming?

1. Franchise Stores Lowest avg. purchases per customer (3.93) Highest membership duration customers stay long but don't buy often .

2. Outlet Stores Low avg. purchases (3.98) .

3. No standout performance in either loyalty or value .

4. Overall Benchmark Average across all channels is 3.33, so anything near or below that underperforms.

Recommendations can be

1. Franchise Stores: Boost Engagement Introduce in-store loyalty incentives or exclusive events to drive more frequent purchases.

2. Outlet Stores: Upsell & Cross-Sell Use targeted promotions to increase basket size and product variety per visit.

3. Optimize Channel Strategy Analyze what's working in Online & Flagship (highest purchases per customer) and replicate successful tactics in weaker channels.

How to strengthen loyalty program engagement?

- Show users how close they are to the next tier to motivate purchases.

- Use purchase history and behavior to send targeted discounts or early access to relevant products. Makes rewards feel exclusive and valuable.

- Add challenges (e.g., "Buy 3 times this month, get bonus points") or limited-time missions. Include badges or leaderboards to make it fun and engaging.